TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

External environment

6 External influences on business activity
6.1 Economic issues



A revision lesson. Pupils run a car dealership in firms of four and revise external environment on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Rates and car sales

Round 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

What is the most likely effect on your sales?

- **A** No change: buyers need cars
- **B** Sales rise as prices fall
- **C** Sales rise as savers earn more
- **D** Sales fall as loans cost more

ANSWER

✓ Sales fall as loans cost more

Why: Higher interest makes loans dearer, so fewer people buy on credit.

2 Unemployment rises

Round 1

Unemployment in your area rises sharply.

Which two effects on your firm are most likely?

- **A** Fewer buyers for new cars
- **B** Higher wages to keep staff
- **C** More buyers want premium models
- **D** More buyers want cheaper cars
- **E** Banks lend more freely

ANSWER

✓ Fewer buyers for new cars
✓ More buyers want cheaper cars

Why: Less income means fewer big purchases, and buyers trade down.

3 Rate rise effects

Round 2

The Bank of England raises interest rates.

Put the effects in order, first to last?

- **A** Fewer people buy on credit
- **B** Car loans cost more each month
- **C** You order fewer cars
- **D** Your sales fall

ANSWER

1. **Car loans cost more each month**
2. **Fewer people buy on credit**
3. **Your sales fall**
4. **You order fewer cars**

Why: Dearer loans, fewer buyers, lower sales, so you buy less stock.

Topic tasks

4 Loan interest rise

Round 2

Interest rates rise. Your stock loan's rate follows.

Rise in the interest a year?

Stock loan	**£20,000**
Interest a year, before	**7%**
Interest a year, now	**10%**

ANSWER

£600

£20,000 × (10% − 7%) = £600

Why: Higher rates raise the cost of your own borrowing too.

5 Pound falls: effect

Round 3

The pound falls sharply against the euro. You buy your cars from Germany and sell them in the UK.

What should you expect, and why?

A Lower costs, higher profit per car

B Higher costs, lower profit per car

ANSWER

✔ Higher costs, lower profit per car

Why: A weaker pound buys fewer euros, so imports cost more in pounds.

6 Staff real income

Round 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

What happens to their real income?

A It rises by about 11%

B It falls by about 5%

C It rises by about 3%

D It stays the same

ANSWER

✔ It falls by about 5%

Why: Pay rises more slowly than prices, so it buys about 5% less.

Final questions

Each pupil answers 6 final questions on external environment. They come from these 12 questions.

1. A dealer wants out-of-hours customer booking and demand data by time slot. Which online-booking outcome meets both aims?
   ✔ **Easy customer booking, plus time-slot demand data for managers**

2. How is a rise in interest rates most likely to affect a dealership with a variable-rate loan?
   ✔ **Interest payments may rise, raising costs**

3. Unemployment rises sharply in the local area. What is one likely effect on a dealership selling mainly to local households?
   ✔ **Demand may fall as households have less income**

4. Why must a motor retailer consider employment law when recruiting staff?
   ✔ **It must treat applicants fairly and lawfully**

5. Consumer confidence rises and more households feel secure about major purchases. What may happen to demand for cars?
   ✔ **Demand is likely to rise**

6. Local unemployment rises: more technicians apply, but demand for premium servicing weakens. Which response is most balanced?
   ✔ **Recruit needed skills and update forecasts for weaker demand**

7. A recession reduces household spending on premium cars. Which response is most appropriate?
   ✔ **Review stock and offer better value**

8. A new safety rule applies to workshop equipment. What should the business do?
   ✔ **Check compliance, update equipment, train staff**

9. The pound weakens, so an imported component costs more in sterling. What is the likely effect on a UK workshop?
   ✔ **Its input cost may rise, cutting margin**

10. A new vehicle technology makes old diagnostic equipment less useful. What business risk does this create?
    ✔ **Its equipment may become obsolete**

11. Why should the CEO monitor economic, technological and legal changes?
    ✔ **They can change demand and costs**

Final questions

12 In a recession the economy shrinks, unemployment rises and people spend less. A dealer sells new cars and repairs. Using this description, what should it expect?

✔ **New car sales fall more than repairs; old cars stay running**